Delton Cables Ltd

Concall tracker, Q2 FY27 (quarter to Sep 2026) · BSE: 504240 · filed under Q2-2027

1. Snapshot

Delton Cables is an old Delhi-based cable maker with plants in Haryana. It makes power and control cables for project builders (EPC contractors putting up power lines, solar farms and factories), signalling and power cables for the railways, and telecom cables. In the last four years it moved away from a few government buyers to large private project contractors, and sales have grown about six times.

Number	Value	Plain read
Market cap	₹631 cr	A micro-cap. The whole company is worth less than two quarters of its sales.
FY26 revenue	₹986 cr	Up 39% on FY25 and about six times FY22 (₹160 cr). Very fast growth.
FY26 net profit	₹15 cr	Down from ₹21 cr despite the jump in sales. Interest costs ate the gains.
Q2 FY27 revenue / profit	₹358 cr / ₹12.5 cr	Best quarter ever. Sales up 48%, profit roughly doubled from a year ago.
Operating margin	~8.5% (Q2)	About ₹8.5 of every ₹100 of sales is operating profit, up from about 7.8% a year ago. Thin for a cable maker.
Interest cost	₹13 cr a quarter	Nearly as big as quarterly pre-tax profit (₹15 cr). The business runs on borrowed money.
Borrowings (Sep 2026)	₹183-206 cr	Up from about ₹161 cr in March as stock built up. (Company deck says ₹183 cr; Screener shows ₹206 cr including other debt.)
P/E	24.9x	You pay about 25 years of last year's profit. Not cheap for a low-margin, indebted business.
Cash from operations	Negative for 3 years	Growth has used up more cash than the business made, FY24 to FY26.
Promoter holding	73%	Unchanged all year.

Net worth jumped in FY26 mainly because land was revalued, not because of new money. That's why return on equity on Screener looks low (about 7%).

2. Coverage

No concall transcripts were available on Screener, and Delton does not hold earnings calls. This report is based on a global web deep-dive. Delton is listed only on BSE (code 504240); Screener has no page for the NSE-style code DLTNCBL.

Sources: Screener.in financials (BSE 504240); Q2 FY27 investor presentation as reported by multibagg.ai (order book, segment split, working capital, 2030 target); results coverage on univest.in, arihantcapital.com and whalesbook.com (FY26 and Q4 FY26); plant announcements on wirecable.in and tndindia.com (Palwal EPC plant Oct 2024, Prithla telecom plant Jun 2025); valuepickr forum thread for background.

Latest update highlights: Q2 FY27 results (3 Nov 2026) and investor deck

- **Record quarter.** Revenue ₹358 cr, up 48% and up 25% on June. Operating profit ₹30 cr, up 62%. Profit ₹12.5 cr, about double.
- **Project cables are the engine.** In the first half, project cables for EPC contractors rose to ₹328 cr from ₹195 cr and are now half of sales. Telecom cables doubled to ₹71 cr. Railway cables slipped to ₹124 cr from ₹130 cr.
- **Order book ₹471.5 cr** at 30 Sep 2026, 87% of it EPC project cables, which the deck calls higher margin. That's only about four months of sales, so the company has to keep winning orders every quarter.
- **Credit rating upgraded** to BBB+ from BBB, and banks raised its limits to ₹310 cr from ₹260 cr. Cheaper and bigger credit lines matter for a company this indebted.
- **Long-term goal:** the deck shows a path to ₹2,500 cr of revenue by 2030, with plans to enter nuclear, defence, water and smart-meter cables.

Business mix & capacity

Domestic vs export: not broken out. Almost all sales appear to be in India.
Segment mix (H1 FY27): EPC project cables 51%, railway 19%, telecom 11%, other 19%.
Capacity utilization: 66% in FY26 (81% in FY25), per the deck. So about a third of capacity is spare. The company says it grows through leased plants and machines rather than heavy spending.

3. Earning trigger thesis

The trigger is the switch from selling to government departments to supplying large private EPC contractors who are building power lines, solar parks and industrial projects. That switch took sales from ₹160 cr to nearly ₹1,000 cr in four years, and project cables are still growing fastest with the best margins. The weakness is that thin margins and heavy interest leave little profit, and the order book covers only a few months.

Trigger	What the company said	Evidence so far	Horizon	Strength
Private EPC project cables	Focus on "high-rated EPC players"; EPC orders are higher margin.	Half of H1 sales; 87% of the order book.	Now	Strong. Already in the numbers.
Telecom cables	Expand approvals with more customers; new Prithla plant (Jun 2025).	Sales doubled in H1.	Now	Moderate. Small base.
New areas: nuclear, defence, water, smart meters	Planned entry (deck).	None yet.	Years	Unproven.
Cheaper credit	Rating upgrade, bigger bank limits.	Interest cost flat quarter on quarter.	Next year	Moderate.

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Borrowings rose in the half year.
New business	Yes	Shift to large private EPC customers; planned entry into nuclear, defence, water and smart-metering cables (Q2 FY27 deck, Nov 2026).
Margin up	No	Margin edged up but the company gave no margin plan; too small to call.
New management	No	None reported.
New capacity	No	Last plant (Prithla telecom) opened Jun 2025; nothing new in the period.
Big orders	No	Order book ₹471.5 cr (Sep 2026), only about four months of sales.
Turnaround	No	Not a loss-maker.
Promoter buying	No	Promoter stake flat at 73%.

Single concrete driver: Power and control cables for big private EPC contractors, now half of sales and most of the order book, keep pulling growth while railway cables stall.

3c. Margin bridge

Operating margin rose to about 8.5% in Q2 from 7.8% a year ago, and to 8.7% for the half. The deck says EPC orders carry higher margins and EPC's share rose, so mix is the likely reason. The company hasn't said whether it lasts (unclear).

4. Management consistency scorecard

Period	What was signalled	What happened	Verdict
Earlier deck	Revenue of about ₹400 cr in 2024	FY24 revenue ₹401 cr	Delivered
2024	Telecom plant, target March 2025	Prithla plant running from 7 Jun 2025	Partly (a couple of months late)
2024	EPC cable plant at Palwal	Commercial production from 26 Oct 2024	Delivered
FY26 deck	Keep working capital below 75-80 days	74 days in FY26 (from 138 in FY24)	Delivered
FY26	Growth turns into profit	FY26 profit fell as interest rose; H1 FY27 profit more than doubled	Partly

Narrative drift: The story has been steady: go after private project contractors, keep plants light, add product approvals. The record on the targets it has put out is decent. But there are no calls and few public promises, so there's little to hold management to, and cash flow has stayed negative even as reported working capital improved.

Durable earning trigger? → YES

The shift to private EPC customers is concrete, named in the deck and already showing in sales and the order mix. India's power-line and solar build-out gives it room. The catch is quality of profit: margins are thin, interest is heavy and the order book is short.

Management consistent? → MAYBE

What it has said, it has mostly done, a little late on one plant. But with no calls, only an occasional deck, and three years of negative operating cash flow, it's hard to give a clean Yes.

6. Checkpoints for next quarter

- Order book at December is bigger than the September book
- Operating margin holds at or above the September quarter
- Railway cable sales go back to growth

Not investment advice. Prepared from public sources only; Delton Cables holds no earnings calls.